



# ABRIDGED PROSPECTUS



# BANK OF KIGALI

*Financially Transforming Lives*



At Bank of Kigali we drive you to your account 24/7 through our electronic banking channels & products



**Double Your Sales,  
get a Merchant  
POS today!**



**Point of Sale (POS) machines are now available at Bank of Kigali**



## ABRIDGED PROSPECTUS

***This Abridged Prospectus provides a summary of the information about the Bank and the Offer contained in the full version of the Prospectus issued by the Bank dated 30 June 2011. Potential investors in respect of the Offer Shares are advised to read this document and the full version of the Prospectus carefully and retain it for future reference. In the event that a potential investor is not clear about the action to take, he/she should consult his/her stock broker, banker, lawyer, auditor or any other financial, legal and tax advisor for guidance and carefully review the risks highlighted in the full version of the Prospectus.***

**CAUTION: This document is important and requires your careful attention.**

**This document is abridged prospectus inviting the public to acquire the Offer Shares under the terms of application set out herein. If you wish to apply for Offer Shares then you must complete the procedures for application and payment set out in Part Nine of “the Prospectus”.**

**A copy of this Prospectus has been delivered to the Registrar General of Companies for registration.** The Registrar General has not checked and will not check the accuracy of any statements made and accepts no responsibility for it or for the financial soundness of the Bank or the value of the Offer Shares.

**For information concerning certain risk factors which should be considered by prospective investors, see “Risk Factors” commencing on page 11 hereof.**

This Abridged Prospectus is issued in compliance with the requirements of the Registrar General's Instructions No. 01/2010/ORG of 12/04/2010 relating to the form and content of the Prospectus as amended by the Registrar General's Instructions No. 02/2010/ORG of 16/11/2010 (“Prospectus Instructions”) issued pursuant to the Law No. 07/2009 relating to Companies (the “Companies Act”), and the requirements of the Capital Markets Advisory Council (CMAC) and the requirements of the Rwanda Stock Exchange.

A copy of this Abridged Prospectus has been delivered to CMAC for approval. Permission has been granted by CMAC for Bank of Kigali to offer to the public the Offer Shares. Application has been made for listing of the Bank's securities offered by this Abridged Prospectus to CMAC. The fact that CMAC may approve the listing of the Shares is not to be taken in any way as an indication of the merits of the Bank or of the Shares. CMAC takes no responsibility for the contents of this Abridged Prospectus, makes no representations as to its accuracy or completeness and expressly disclaims any liability whatsoever for any loss howsoever arising from or in reliance upon any part of the contents of this Abridged Prospectus.

## ABRIDGED PROSPECTUS

by  
Bank of Kigali Limited  
(Incorporated in the Republic of Rwanda, Company Code 100003458)  
And previously known as Banque de Kigali SA  
("Bank of Kigali", or the "Bank")  
for the Offer of New Shares  
By Bank of Kigali  
and  
Sale Shares  
by the Government of Rwanda (GoR)  
of

300,304,400 ORDINARY SHARES WITH A PAR VALUE RWF10.00 EACH AT AN OFFER PRICE  
OF RWF 125.00 PER SHARE

and

Listing of the entire issued share capital of the Bank on the Rwanda Stock Exchange

**APPLICATION LIST OPENS: 30 June 2011**

**APPLICATION LIST CLOSES: 29 July 2011**

An application has been made to the Rwanda Stock Exchange for the Listing of the Shares of the Bank, under the abbreviation **BOK**. Listing is expected to become effective on **29 August 2011**. The Rwanda Stock Exchange assumes no responsibility for the correctness of any of the statements made or opinions or reports expressed or contained in this Abridged Prospectus.



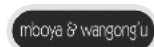
Sole Bookrunner



Lead Sponsoring Broker



Co-Sponsoring Broker



Transaction Lawyers



Transaction Lawyers

*This Abridged Prospectus is dated 30 June 2011 and is valid for 6 months from this date.*

## OFFER TIMETABLE

| Offer Timetable                                                                               |                |
|-----------------------------------------------------------------------------------------------|----------------|
| International Bookbuilding opens (International Pool)                                         | 17 June 2011   |
| International Bookbuilding closes (International Pool)                                        | 23 June 2011   |
| Opening of Offer Period (Domestic Pool)                                                       | 30 June 2011   |
| Close of Offer Period (Domestic Pool)                                                         | 29 July 2011   |
| Announcement of allotment results                                                             | 12 August 2011 |
| Last date for payment of Shares under International Pool and QII sub-pools                    | 18 August 2011 |
| Dispatch of CSD Statements and commencement of collection of refunds from ASAs                | 22 August 2011 |
| Admission to Listing, and commencement of trading of the Shares, on the Rwanda Stock Exchange | 29 August 2011 |

*The Offer Timetable and, in particular, the Offer Period is subject to amendment and extension if agreed by Bank of Kigali, CMAC and the RSE. Any such amendment or extension will be announced publicly through a press advertisement.*

## OFFER STATISTICS

| Offer Statistics                                                                                                    |              |                |
|---------------------------------------------------------------------------------------------------------------------|--------------|----------------|
| Offer Price per Offer Share                                                                                         | RwF          | 125.00         |
| Par value of each Offer Share                                                                                       | RwF          | 10.00          |
| Authorised share capital of the Bank                                                                                | RwF          | 7,024,600,000  |
| Total number of issued shares                                                                                       |              | 500,500,000    |
| Number of New Shares                                                                                                |              | 166,837,000    |
| Number of Sale Shares                                                                                               |              | 133,467,400    |
| Total number of Offer Shares (New Shares plus Sale Shares)                                                          |              | 300,304,400    |
| Gross proceeds of the Offer                                                                                         | RwF          | 37,538,050,000 |
| Net profits for the twelve (12) month period ended 31.12.2010                                                       | RwF Millions | 6,179          |
| EPS for the twelve (12) month period ended 31.12.2010 (based on 500,500,000 shares following a Share split)         | RwF / Share  | 12.34          |
| Implied PE (historical) based on the EPS for the twelve (12) month period ended 31.12.2010                          |              | 10.1X          |
| Forecast full year net profits for the twelve months ending on 31.12.2011                                           | RwF Millions | 7,700          |
| Forecast EPS as at 31.12.2011 (based on increased number of issued shares assuming full subscription of New Shares) | RwF / Share  | 11.54          |
| Implied PE as at 31.12.2011 based on the Forecast EPS                                                               |              | 10.8X          |

## 1 Introduction

The Government of Rwanda (GoR) is offering for sale 133,467,400 shares in the Bank (the “Sale Shares”) while the Bank of Kigali is offering 166,837,000 new shares (the “New Shares”), (both the “Offer Shares”) at a price of RwF 125.00 per Offer Share. Assuming the total number of Offer Shares is fully subscribed, the total number of Offer Shares will constitute 45% of the issued share capital of the Bank.

### 1.1. Particulars of the Offer

An offer for sale of 133,467,400 Sale Shares and an offer for subscription of 166,837,000 New Shares is being made at a price of RwF 125.00 per Offer Share, payable in full on application, in the currency of Rwanda, upon terms and conditions set out in the Prospectus. RwF 16,683 million of the gross proceeds of the offer will accrue to GoR, proportionately with the ratio of the Sale Shares to the Offer Shares. RwF 20,855 million in gross proceeds from the sale of the New Shares will accrue to the Bank.

### 1.2. Reasons for Privatisation/Divestiture by the GoR

In an effort to encourage private equity investment amongst the citizenry of Rwanda and to promote the development of the local capital markets the GoR has embarked on a privatization programme of state-owned enterprises. The specific objectives of GoR's privatization/divestiture programme include:

- To reduce the shares held by GoR in public companies, thus alleviating the financial burden on its resources through the elimination of subsidies and state investments;
- To reduce its administrative obligations in these enterprises;
- To attract foreign investment in Rwanda and the accompanying transfer of technology and knowhow; and
- To develop and promote Rwanda's capital markets.

RwF 16,683 million of the gross proceeds of the offer will accrue to GoR, proportionately with the ratio of the Sale Shares to the Offer Shares.

### 1.3. Status of the Offer Shares

The Offer Shares rank *pari passu* in all respects with the Issued Shares, including the right to participate in full in all dividends and/or other distributions declared in respect of such Share upon the allotment of the Offer Shares.

The Offer Shares will be freely transferable and will not be subject to any restrictions on marketability or any rights of first refusal on transfer.

### 1.4. Payment Terms and Mode of Payment

Payment for the Offer Shares will be in full upon application by cash or a valid banker's draft/cheque in RwF. Foreign Investors and QIIs will not be required to provide payment or bank guarantees on application. Payment for the Offer Shares applied for by Foreign Investors and QIIs will be made upon allotment and within two working days of the announcement of allotment results. By submitting an Application Form, each Foreign Investor and QII binds itself to the Issuer and to the Vendor to pay in full the value of Offer Shares allotted to them.

### 1.5. Minimum Number of Shares per Application

The minimum number of Shares per application is 100 Offer Shares. Applicants applying for more than the minimum number of Offer Shares may apply for such higher number in multiples of 100 Offer Shares.

## LISTING PARTICULARS

### 1.6. Structure & Allocation of the Offer

In order to strike a balance between retail and institutional investors as well as local and international investors the Offer is structured into two main pools, Domestic and International. The Domestic Pool consists of three sub-pools (Retail East Africans, Employees and Directors and Distributors and QIIs).

40% of the Offer has been earmarked for the International Pool and the balance of 60% of the Offer Shares for the Domestic Pool. Within the Domestic Pool, 27.6% of the Offer Shares have been reserved for Retail East Africans, 2.4% for Employees and Directors, 15% for QIIs in Rwanda and the remaining 15% of the Offer for QIIs in East Africa other than in Rwanda.

### 1.7. Eligibility to the pools and sub-pools

The following describes who is eligible to participate in each of the pools and the sub pools.

#### Domestic Pool

The Domestic Pool is comprised of the following sub-pools:

- i) Retail East Africans;
- ii) Employees and Directors;
- iii) QII Rwanda; and
- iv) QII EAC (other than Rwanda).

#### Retail East Africans sub-pool

East Africans (as defined in the Prospectus) excluding QIIs are eligible to apply only for the 82,891,400 Offer Shares reserved under this sub-pool.

#### Employees and Directors Pool

Employees and Directors (as defined in the Prospectus) excluding QIIs are eligible to apply only for the 7,200,000 Offer Shares reserved under this sub-pool.

#### QII Rwanda

QIIs (as defined in the Prospectus) that are incorporated or registered in Rwanda are eligible to apply only for the 45,045,600 Offer Shares reserved under this sub-pool.

#### QII EAC

QIIs (as defined in the Prospectus) that are incorporated or registered in any of the EAC countries, other than in Rwanda, are eligible to apply only for the 45,045,600 Offer Shares reserved under this sub-pool.

#### International Pool

Persons who are not Retail East Africans, Employees and Directors or QIIs are entitled to apply for Shares reserved under the International Pool.

Foreign Investors are only eligible to apply for Shares under the International Pool, if it is permissible under the laws of their residency or location for them to receive the Prospectus and participate in the Offer and provided that the Offer to such entity complies with the selling restrictions set out in the section headed.



The table below gives a summary of the Offer Structure & Allocation.

| POOL               | SUB-POOL                | NUMBER OF SHARES   | ALLOCATION % |
|--------------------|-------------------------|--------------------|--------------|
| Domestic Pool      | Retail East Africans    | 82,891,400         | 27.60%       |
|                    | Employees and Directors | 7,200,000          | 2.40%        |
|                    | QII-EA                  | 45,045,600         | 15.00 %      |
|                    | QII-Rwanda              | 45,045,600         | 15.00 %      |
| International Pool |                         | 120,121,800        | 40.00%       |
| <b>TOTAL OFFER</b> |                         | <b>300,304,400</b> | <b>100%</b>  |

### 1.8. Underwriting

The Offer Shares will not be underwritten.

### 1.9. Allotment Policy

The responsibility for allotting the Offer Shares lies with the Issuer and the Vendor under the recommendation of the Lead Transaction Advisor. Where valid Applications for Offer Shares received in any pool or sub-pool are equal to or less than the Offer Shares reserved for that pool or sub-pool respectively, the Applicants will be allotted in full the number of the Offer Shares applied for by them. In the event of an under-subscription in the Domestic Pool, the Offer Shares not subscribed for in the Domestic Pool will be allocated to the International Pool and vice versa.

Further to the above provisions, the following policies will apply to the sub-pools and pool highlighted below:

#### Allotment Policy in the Retail East Africans sub-pool

The following allotment policy will apply to the Retail East African sub-pool:

If the total number of Offer Shares applied for is more than the total number of Offer Shares reserved for the Retail East Africans sub-pool, Applicants will be allotted 100 Offer Shares in the first instance and thereafter in multiples of 100 Offer Shares on a pro rata basis, rounded down to the nearest 100 Offer Shares, until all Offer Shares in the sub-pool are fully exhausted, provided however that Rwandan citizens will be given priority in allotment for up to 60% of the Offer Shares reserved under the Retail East Africans sub-pool.

#### Allotment Policy in the QII Rwanda and QII EAC sub-pools

If the total number of Offer Shares applied for is more than the total number of Offer Shares reserved for the QII Rwanda and QII EAC sub-pools, Applicants will be allotted 100 Offer Shares in the first instance and thereafter in multiples of 100 Offer Shares on a pro rata basis, rounded down to the nearest 100 Offer Shares, until all Offer Shares in the particular sub-pool are fully exhausted.

#### Allotment Policy in the International Pool

Applications in the International Pool will be submitted to the Bookrunner by the Authorized Selling Agents and the Bookrunner will subsequently enter each Application into the institutional book of demand.

The Bookrunner will seek to build a book of demand consisting of a mix of investors who are likely to be long term holders of the securities or providers of liquidity. Some or all the following factors will determine the allocations to each Applicant:

- investor's price limit, and the level;

## LISTING PARTICULARS

- the size of the investor's expressed interest (both absolute and relative to the investor's portfolio or assets under management);
- the investor's interest in, and past dealings in other issues in the banking industry in emerging markets;
- the extent to which the investor's expressed interest and the size of the allocation requested appears consistent with the investor's expressed investment strategy and objectives and purchasing capacity;
- the timeliness of the investor's indication of interest;
- the nature and level of interest shown by the investor in the issuer and the offering, for example its involvement in roadshows, meetings and valuation discussions and other contact with the issuer;
- the category or description into which the investor falls (e.g. retail fund, tracker fund, emerging markets specialist, industry specialist fund);
- the geographic spread of investors in the book of demand;
- the need to comply with applicable selling restrictions or other relevant legal or regulatory restrictions in each jurisdiction where potential investors are located;
- based on experience, the investor's likely long-term interest in the issuer (whether in the market or potential future offerings);
- any indication or reasonable belief that an investor has exaggerated its indication of interest in anticipation of being scaled back; and
- the desirability of avoiding allocations in inconvenient or uneconomic amounts.

The Bookrunner will prepare an allocation recommendation for the International Pool, in order to create an optimal international shareholder base and promote a favourable aftermarket in the stock. The final decision on allocation of the International Pool will rest with the Issuer and the Vendor.

In the event of an over-subscription in the International Pool and additional Shares not subscribed for in the Domestic Pool are allocated to the International Pool, Applicants in the International Pool will be allotted such increased number of Offer Shares based on their respective initial expressed interest in the bookbuilding (described above).

If the results of the subscription for the Offer Shares make the above allotment policy impractical, then an amendment to the allotment policy shall be made with the approval of CMAC, the Issuer and the Vendor, and such amendment will be announced within 24 hours of the grant of such approval.

The Vendor and the Issuer reserve the right to accept or refuse any application in their sole discretion, either in whole or in part, or to accept some applications in full and others in part, or to abate any or all applications in such manner as they may determine. Any irregular, incomplete or suspected multiple applications may be rejected.

The Lead Transaction Advisor will notify CMAC of the allotment results as approved by the Issuer and the Vendor and announce the same by advertisement in the press within 21 days of the Closing Date.

### 1.10 Refunds Policy

In the event of an oversubscription, all Applicants that have not been allotted in full the number of Offer Shares applied for by them will be refunded an amount equivalent to the value of the Offer Shares not allotted. Refunds will be made available to Applicants by way of EFT to the bank account specified in the Application Form, no later than 14 working days after the announcement of allotment results.

## LISTING PARTICULARS

Any refunds to Retail East Africans outside of Rwanda, with the exception of QIIs, will be made by way of EFT in the foreign currency specified by the Applicant on the Application Form, at the cost of the respective Applicant and at the prevailing exchange rate specified by the Receiving Bank at the time of refund.

### 1.11 Status of the Applicant

Every Applicant is required to complete the declaration on the Application Form declaring the pool or sub-pool to which the Applicant is eligible to apply for shares and submit together with the application documentation supporting such eligibility.

### 1.12 Application and Payment Procedures

*The summarized procedures below should be read in conjunction with the detailed instructions for applying for shares as contained in part nine of the Prospectus, “Procedures for, and Terms and Conditions of, Application and Allotment” and the instructions on the Application Form.*

Copies of the Prospectus, together with the Application Forms and CSD account opening forms CSD 1R, may be collected during the hours from 8:00am to 5:00pm on any day (except Saturdays, Sundays and public holidays) from 30 June to 29 July 2011 from any of the ASAs listed starting on page 18 of this Abridged Prospectus.

Applications may be made only on the relevant Application Form, a copy of which is attached to the Prospectus (whether or not printed as a separate document). Each Application Form must be supported by payment for an amount equivalent to the value of shares applied for by the Applicant. Payment may be in the form of cash or a valid banker's draft/cheque in RwF. In the case of banker's draft/cheques, payments should be made in favour of any of the banks listed below:

| AUTHORISED SELLING AGENTS       | ACCOUNT No.                                                                                                                                   |
|---------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------|
| Bank of Kigali Limited          | BANK OF KIGALI – IPO<br>Account number: 040-9900735-75                                                                                        |
| Ecobank Limited                 | BANK OF KIGALI – IPO<br>Account number: 001 006 38087297 01                                                                                   |
| KCB                             | Bank of Kigali Limited –IPO Account<br>Account number: 4400633640                                                                             |
| FINA Bank                       | BK IPO Collection Account<br>Account Number: 2600101054 (Rwanda)<br>Account Number: 1195500024 (Uganda)<br>Account Number: 1164000297 (Kenya) |
| BCR                             | BK IPO Payables<br>Account Number: 8888884-16-94                                                                                              |
| African Alliance Rwanda Limited | African Alliance Rwanda IPO<br>Account Number: 040-0350607-80                                                                                 |
| Dyer and Blair Investment Bank  | Dyer and Blair Client IPO Account<br>Account Number: 040-0352912-59                                                                           |

## LISTING PARTICULARS

The completed Application Form, together with the necessary cash, or banker's draft/cheque, should be submitted to any of the ASAs by 5:00pm on 29 July 2011.

Foreign Investors and QIIs will not be required to provide payment or bank guarantees on application. Payment for the Offer Shares applied for by Foreign Investors and QIIs will be made upon allotment and within two working days of the announcement of allotment results. By submitting an Application Form, each Foreign Investor and QII binds itself to the Issuer and to the Vendor to pay in full the value of Offer Shares allotted to them.

### 1.13. Rejections Policy

*Please refer to part nine of the Prospectus for the detailed application procedures.*

Applications received after 5:00pm on the Closing Date will not be considered and personal cheques will not be accepted.

Applications will only be considered if received through any of the ASAs. Accordingly, the Lead Transaction Advisor, the GoR and Bank of Kigali will accept no responsibility for any applications that are, or may be, misdirected.

Applications can be rejected if full value of the Offer Shares applied for is not received.

Applications may be rejected for the following reasons:

- a) Missing or illegible name of primary or joint Applicant in any Application Form;
- b) Missing or incorrect CSD account number;
- c) Missing or illegible identification number, including corporation registration number, or in the case of Rwandan residents, missing or illegible alien registration number;
- d) Missing or illegible address (either postal or street address);
- e) Missing residence and citizenship indicators (for primary Applicant in the case of an individual) or missing residency for tax purposes for corporate investors;
- f) Insufficient documentation is forwarded including missing tax exemption certificate copies for companies that claim to be tax exempt;
- g) In the case of nominee applications, incomplete information or lack of declaration from the agent submitting the application;
- h) Missing or inappropriately signed Application Form including (for manual application only):
  - Primary signature missing from Signature Box 1;
  - Joint signature missing from Signature Box 2 (if applicable);
  - Two directors or a director and company secretary have not signed in the case of a corporate application;
- i) Number of Offer shares does not comply with the rules as set out in the Prospectus;
- j) Amount as payment for number of Offer Shares Applied for is less than the correct calculated amount;
- k) Authorized Cheque has unauthenticated alterations;
- l) Authorized Cheque is not signed or dated or if amount in figures and words does not tally.

## 2 Risk Factors

The following is a summary of the risk factors that are specific to the Company and Industry and are material to investing in the Offer shares. For a more detailed discussion of these factors prospective investors should refer to part seven of the full version of the Prospectus.

### 2.1 Country and Industry Specific Risks

- Currency Risks
- Statistical Information
- Developing Legal System
- Increasing Competition
- Economic and Political Environment
- Regulatory Risk
- Evolving Nature of the Rwandan Tax System

### 2.2 Bank Specific Risks

- Risks Related to Growth Strategy
- Liquidity Risks
- Deposit Concentration
- Loan Concentration by Borrower
- Loan Concentration by Sector
- Scarcity of Qualified Personnel
- Market Risks
- Operational Risks
- Enforcement of Collateral
- Licenses
- Achievability of Financial Projections
- Risks Relating to Internal Controls over Financial Reporting
- Technological Risks
- Risks Related to Money Laundering and/or Terrorist Financing
- Restrictive Covenants
- Unregistered Collateral Risk

## COMPANY INFORMATION

### 3 History and Background Information

The Bank was incorporated in the Republic of Rwanda on 22 December 1966. It was founded as a joint venture between GoR and Belgolaise, with each owning 50% of the ordinary share capital. The Bank commenced operations in 1967 with its first branch in Kigali. Belgolaise was a subsidiary of Fortis Bank operating in Sub-Saharan Africa and in 2005 began to withdraw from its operations in Africa in line with Fortis' strategy. Belgolaise still exists as a corporate entity under Belgian Law and is part of the BNP Paribas Fortis Group. In 2007 the GoR acquired the Belgolaise shareholding in Bank of Kigali, thereby increasing its direct and indirect shareholding in the Bank to 100% of the entire Issued Shares. In 2011, the Bank changed its name under the new law relating to companies from Banque de Kigali S.A to Bank of Kigali Limited.

#### 3.1 Incorporation and Share Capital History

The Bank was incorporated on 22 December 1966 in Kigali, Rwanda. The Bank is registered as a public company.

As of the date of this Abridged Prospectus the Bank's Authorised Share Capital is RwF 7,024,600,000 divided into 702,460,000 Shares of a par value of RwF 10.00 each of which the issued share capital is RwF 5,005,000,000 divided into 500,500,000 Shares of a par value of RwF10.00 each.

#### Pre-Offer Shareholding Structure

| SHAREHOLDER                    | NUMBER OF SHARES   | % OF ISSUED SHARES | DESCRIPTION OF SHAREHOLDER           |
|--------------------------------|--------------------|--------------------|--------------------------------------|
| Government of Rwanda           | 332,002,000        | 66.33              | Government of the Republic of Rwanda |
| Social Security Fund of Rwanda | 168,443,000        | 33.65              | Social Security Fund of Rwanda       |
| PRIME Holding S.A.R.L          | 11,000             | 0.002              | Property Management Company          |
| OCIR Cafe                      | 11,000             | 0.002              | National Coffee Board                |
| OCIR The                       | 11,000             | 0.002              | National Tea Board                   |
| National Post Office           | 11,000             | 0.002              | National Post Office                 |
| RAMA                           | 11,000             | 0.002              | National Health Insurance Fund       |
| <b>TOTAL</b>                   | <b>500,500,000</b> | <b>100</b>         |                                      |

#### 3.2 The Business of the Bank

The Bank's two principal business areas are retail banking and corporate banking. In addition, the Bank has completed the preparatory work and intends to offer domestic private banking services imminently.

The Bank is a leader in the Rwandan retail banking market, currently serving over 60,000 retail clients through its branch network and electronic distribution channels. The Bank's retail banking activities include retail lending (including micro-financing loans, mortgage loans, general consumer loans, automobile loans, payroll loans and overdrafts and credit cards), current, savings and term deposit accounts, bank card products and services, ATM services, Internet and SMS banking, utilities and other bill payments, money transfers and remittances, standing orders, direct deposit services for wages and other monetary entitlements and other retail banking services. As of 31 May 2011, the Bank had the second largest branch network in Rwanda, with 33 branches, including full-service flagship branches, service centres and smaller-scale sales outlets and the second largest ATM network in Rwanda, comprising 26 ATMs. As at 31 December 2010, the Bank's retail banking business had customer deposits and loans of

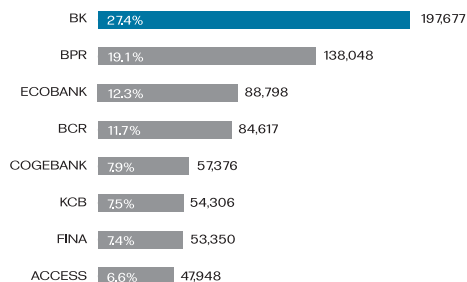
RwF 36,401 million and RwF 20,738 million respectively, representing 27% and 20% of the Bank's total customer deposits and loans respectively.

The Bank is the leader in the Rwandan corporate banking market. The Bank's banking services consist primarily of account administration and cash management services, payroll services and corporate lending, as well as a range of trade finance operations (including invoice discounting, letters of credit and bank guarantees) and, foreign exchange transactions. The Bank provides loans and other credit-related products in RwF and (to qualifying clients) in foreign currencies, principally U.S. dollars, including overdraft facilities, revolving lines of credit, working capital facilities and equipment financing, with most of corporate lending and off-balance sheet exposure secured by commercial mortgages or other collateral. The Bank's corporate clients include large corporates as well as small and medium-size companies and governmental entities. As of 31 December 2010, the Bank served 1,440 corporate customers, 2,297 SME customers and 1,684 NBA customers. As at 31 December 2010, the Bank's corporate banking business had customer deposits and loans of RwF 99,277 million and RwF 84,789 million respectively, representing 73% and 80% of the Bank's total customer deposits and loans respectively.

### 3.3 Market, Market Share and Competition

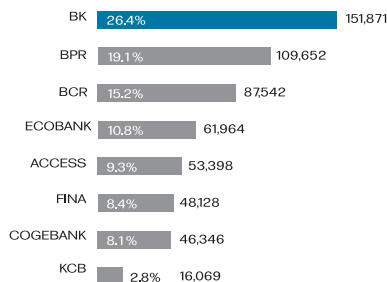
The charts below show that Bank of Kigali had the leading market share in total assets, deposits, loans and equity as at 31 December 2010 and 2009.

**Total Assets - 2010 (RwF Millions)**



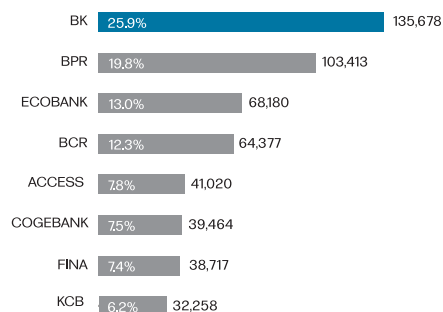
Source: Published Financial Statements Financial Year 2010

**Total Assets - 2009 (RwF Millions)**



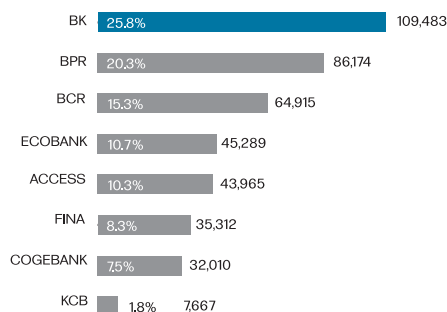
Source: Published Financial Statements Financial Year 2010

**Total Deposit - 2010 (RwF Millions)**



Source: Published Financial Statements Financial Year 2010

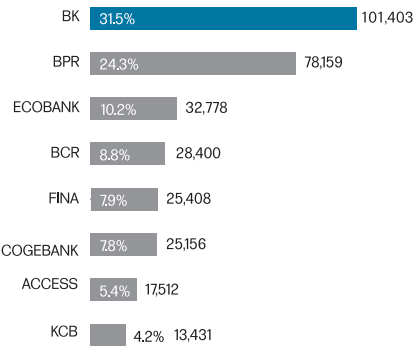
**Total Deposit - 2009 (RwF Millions)**



Source: Published Financial Statements Financial Year 2010

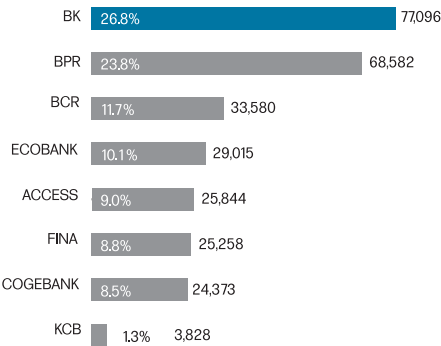
# COMPANY INFORMATION

Total Loans - 2010 (RwF Millions)



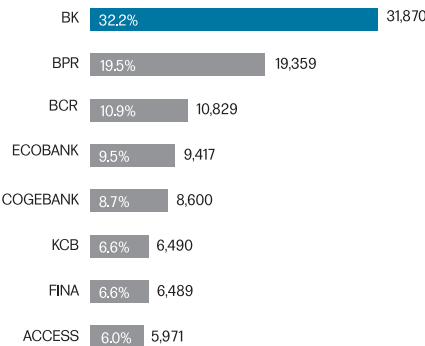
Source: Published Financial Statements Financial Year 2010

Total Loans - 2009 (RwF Millions)



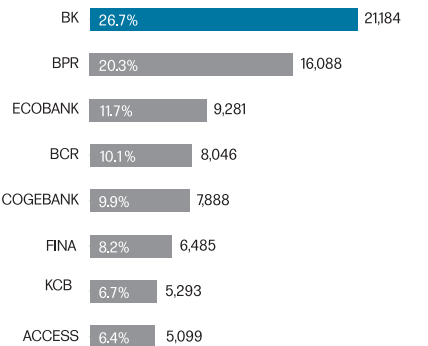
Source: Published Financial Statements Financial Year 2010

Shareholders' Equity - 2010 (RwF Millions)



Source: Published Financial Statements Financial Year 2010

Shareholders' Equity - 2009 (RwF Millions)



Source: Published Financial Statements Financial Year 2010

Management believes that the size of the Bank and its market leadership provides it with significant opportunities to harness economies of scale and to efficiently meet the evolving needs of its customers.

## 3.4 Competitive Advantages of Bank of Kigali

Management believes that the Bank has the following competitive strengths:

- leading market position;
- an evolving and diversified product offering;
- a widely-recognised and trusted retail brand and franchise;
- a wide and expanding distribution network;
- strong corporate customer relationships;
- experienced management;
- diversified Board combining local and international experience;
- access to long-term wholesale funding; and
- market-dominant size of equity capital



### Leading Market Position

According to BNR data, Bank of Kigali is the leading bank in Rwanda with leading market share by assets (27%), net loans (31%), customer deposits (26%), and shareholders' equity (32%) as of 31 December 2010. The size and market leadership provides the Bank with exceptional competitive opportunities including the ability to meet its customers' evolving needs.

### An Evolving and Diversified Product Offering

The Bank offers a wide range of retail and corporate banking products to its customers. Retail banking products include: retail lending (including micro-financing loans, mortgage loans, general consumer loans, automobile loans, payroll loans and overdrafts and credit cards), current, savings and term deposit accounts, bank card products and services, ATM services, Internet and SMS banking, utilities and other bill payments, money transfers and remittances, standing orders, direct deposit services for wages and other monetary entitlements.

### A Widely Recognised and Trusted Retail Brand and Franchise

Bank of Kigali has been in Rwanda for 45 years and management believes that the Bank has built a very strong brand that is commonly associated with superior customer service and innovative products. In recognition of the Bank's service quality and market position, it received the Bank of the Year (Rwanda) and Best Bank in Rwanda awards from The Banker and emeafinance, respectively, in 2009 and 2010.

### A Wide and Expanding Distribution Network

As of 31 May 2011, the Bank had the second largest branch network in Rwanda, with 33 branches, including full-service flagship branches, service centres and smaller-scale sales outlets and the second largest ATM network in Rwanda, comprising 26 ATMs. The branch network has rapidly grown, increasing from 18 as of 31 December 2009 to 33 as of 31 May 2011. The branch network is spread across all provinces and major commercial districts in the country and enables the Bank to service its customers' needs across Rwanda.

### Strong Corporate Customer Relationships

The Bank's corporate clients include large corporates as well as small and medium-size companies and governmental entities. As of 31 December 2010, the Bank served 1,440 corporate customers, 2,297 SME customers and 1,684 NBA customers. Due to the Bank's long presence in the Rwandan banking market (45 years) and its diverse product base, the Bank has built strong relationships with corporate clients.

### Experienced Management

Bank of Kigali has a highly skilled management team that has substantial experience in the financial sector. Management's expertise is exhibited by the strong financial performance of the Bank in the last three years, a period which saw Rwanda experience the liquidity crisis, entry of foreign competitors into the market and challenges posed by the global financial crisis.

### Diversified Board Combining Local and International Experience

Bank of Kigali has a Board composed of eight directors who have a mixture of local knowledge and experience as well as experience in international banking and financial markets. The diverse backgrounds of the Directors allow the Board to effectively execute its business strategy while applying international best practices.

## COMPANY INFORMATION

### Access to Long-Term Wholesale Funding

The Bank is rated A+/A1 by Global Credit Rating Company (South Africa) and as of the date of this Abridged Prospectus had secured long-term funding from EIB and AFD of Euro 5 million and US\$ 20 million respectively. In addition, the Bank is in the process of negotiating a long-term credit line with the principal amount exceeding US\$ 10 million. The Bank has access to long-term wholesale funding that is important in widening the maturity of its loan products.

### Market-Dominant Size of Equity Capital

As at 31 December 2010, the Bank had shareholders' equity of RwF 31,870, the largest of all banks in Rwanda. In addition, the Bank is sufficiently capitalised with a CAR of 20% as at 31 December 2010. The size of the Bank's capital enables it to individually lend to customers who have large borrowing needs and also offer longer maturing loan products.

### 3.5 Summary of Financial Information

The following table sets out certain summary financial and operational data for the Bank. The financial data below has been extracted from audited Annual Financial Statements for the years ended 31 December 2010, 2009 and 2008 and unaudited and reviewed Interim Financial Statements for the three months ended 31 March 2011 and 2010.

| Financial Data (RwF Millions)           | Period Ended 31 March |         | Year Ended 31 December |         |         |
|-----------------------------------------|-----------------------|---------|------------------------|---------|---------|
|                                         | 2011                  | 2010    | 2010                   | 2009    | 2008    |
| Assets                                  | 211,123               | 156,494 | 197,677                | 151,871 | 120,746 |
| Net Loans & Advances                    | 104,902               | 84,509  | 101,403                | 77,096  | 72,094  |
| Total Deposits                          | 161,304               | 125,634 | 154,598                | 124,587 | 101,138 |
| Shareholders' Equity                    | 32,785                | 19,391  | 31,870                 | 21,184  | 15,897  |
| Net Interest Income                     | 3,633                 | 2,776   | 12,211                 | 10,197  | 9,178   |
| Net Non-Interest Income <sup>(1)</sup>  | 2,742                 | 1,819   | 8,936                  | 5,803   | 4,996   |
| Total Operating Income (Revenue)        | 6,375                 | 4,595   | 21,147                 | 16,000  | 14,174  |
| Total Operating Expenses                | 3,073                 | 2,152   | 10,043                 | 7,059   | 5,673   |
| Profit Before Provisions <sup>(2)</sup> | 3,302                 | 2,443   | 11,058                 | 8,942   | 8,501   |
| Net Provision Expense <sup>(3)</sup>    | 463                   | 1,203   | 2,376                  | 1,500   | 255     |
| Profit for the period                   | 1,915                 | 850     | 6,179                  | 5,287   | 5,654   |
| <b>Operational Data</b>                 |                       |         |                        |         |         |
| Return on Average Assets <sup>(4)</sup> | 3.7%                  | 2.2%    | 3.5%                   | 3.9%    | 4.6%    |
| Return on Average Equity <sup>(5)</sup> | 23.7%                 | 17.9%   | 24.5%                  | 30.7%   | 39.4%   |
| Cost / Income Ratio <sup>(6)</sup>      | 48.2%                 | 46.8%   | 47.5%                  | 44.1%   | 39.8%   |
| Capital Adequacy Ratio <sup>(7)</sup>   | 23.1%                 | 17.7%   | 20.1%                  | 19.9%   | 14.9%   |
| Net Interest Margin <sup>(8)</sup>      | 8.8%                  | 8.6%    | 8.3%                   | 8.2%    | 9.0%    |
| Number of Retail Accounts               | 74,145                | 38,451  | 64,843                 | 49,100  | 29,724  |
| Number of ATMs                          | 26                    | 6       | 26                     | 6       | 6       |
| Number of Branches and Agencies         | 33                    | 19      | 33                     | 18      | 14      |

Note: Return on Average Assets and Return on Average Equity for the periods ended 31 March 2011 and 31 March 2010 are annualized. The Directors authorized the creation of a general provision of RwF 1,000 million against loans and advances as of 31 March 2011. The provision was accounted for as a reduction of equity ('other reserves') as of 31 March 2011.

- (1) Net non-interest income is net fee and commission income, foreign exchange gains and other income.
- (2) Profit before provisions is equal to total operating income less impairment on available-for-sale investments less total operating expenses
- (3) Net provision expense is impairment losses on loans and advances less recoveries
- (4) Return on average assets equals net income of the period divided by average total assets for the same period.
- (5) Return on average equity equals net income of the period divided by average total shareholders' equity for the same period.
- (6) Cost/income ratio equals total recurring operating costs for the period divided by total operating income.
- (7) Capital Adequacy Ratio equals Total Capital divided by risk weighted assets.
- (8) Net interest margin equals net interest income for the period divided by average interest earning assets for the same period.

### 3.6 Dividend Policy

Over the years, the Bank's dividend payout policy has been 50% of the year's profit after tax subject to the Bank's growth capital requirements and approval by the shareholders. Going forward, the dividend policy will be guided by the same principles of the growth and expansion needs in addition to the capital requirements.

### 3.7 Board of Directors and Senior Management of the Company

#### Board of Directors

| Name                | Year of Birth | Position                            | Committee Membership                                     | Academic/ Professional Qualification                                                      |
|---------------------|---------------|-------------------------------------|----------------------------------------------------------|-------------------------------------------------------------------------------------------|
| Lado GURGENIDZE     | 1970          | Chairman and Non-Executive Director | -                                                        | MBA                                                                                       |
| Marc HOLTZMAN       | 1960          | Non- Executive Director             | -                                                        | BA (Economics)                                                                            |
| Sudadi S. KAYITANA  | 1975          | Non- Executive Director             | Audit and Risk; Credit                                   | Associate degree in Accounting, ACCA, MCIPS                                               |
| Perrine MUKANKUSI   | 1964          | Non- Executive Director             | Nominations and Remuneration; Asset-Liability Management | MBA, BCOM                                                                                 |
| Dativa MUKESHIMANA  | 1968          | Non- Executive Director             | Audit and Risk; Asset-Liability Management               | MSc (Project Management), Bachelor's degree in Economics, with major in Money and Banking |
| Alphonsine NIYIGENA | 1970          | Non- Executive Director             | Audit and Risk; Credit                                   | MBA (Finance)                                                                             |
| Apollo M. NKUNDA    | 1975          | Non- Executive Director             | Audit and Risk; Nominations and Remuneration             | Master's degree in Business and Trade law, LLB                                            |
| Caleb RWAMUGANZA    | 1977          | Non- Executive Director             | Credit; Asset-Liability Management                       | MA (Management and Finance), Bachelor's degree in Accounting,                             |

#### Senior Management

| Name                | Year of Birth | Position                                     | Academic/ Professional Qualification                                                            |
|---------------------|---------------|----------------------------------------------|-------------------------------------------------------------------------------------------------|
| James GATERA        | 1957          | Managing Director                            | BA, BCOM                                                                                        |
| Lawson NAIBO        | 1959          | Chief Operating officer                      | MBA (Strategic Management), BSc (Financial Services), Qualified Accountant and Chartered Banker |
| Louis RUGERINYANGE  | 1954          | Chief Shared Services Officer                | BA(Economics)                                                                                   |
| Flora NSINGA        | 1975          | Head of HR & Administration                  | Bachelors Degree in Business Administration (BBA)                                               |
| John Kajuka BUGUNYA | 1980          | Head of Finance & Budget                     | MBA (Accounting and Finance), ACCA, BBA                                                         |
| Adolphe NGUNGA      | 1966          | Head of Retail Banking                       | Bachelors Degree in Economics                                                                   |
| Martin Kana MULISA  | 1970          | Head of Corporate Banking                    | MBA (Finance), Bachelors Degree in Management                                                   |
| Innocent MUSOMINARI | 1966          | Head of Credit Department                    | BA (Economics)                                                                                  |
| Alex NGABONZIZA     | 1972          | Head of ICT                                  | Bachelors Degree (Technical Electro-Mechanical Engineering and IT)                              |
| Frances IHOGOZA     | 1975          | Head of Corporate Affairs/ Company Secretary | Masters Degree in Public Administration, BCOM                                                   |
| Gerard NYANGEZI     | 1961          | Head of Internal Audit                       | BCOM, ACCA, ICPAR                                                                               |
| Yves GATSIMBANYI    | 1968          | Head of Risk & Compliance                    | Bachelors Degree in Economics                                                                   |

## DIRECTORY OF AUTHORISED SELLING AGENTS

### Receiving Bank

**Bank of Kigali Limited**  
 Company Code: 100003458  
 6112, Avenue de la Paix  
 P.O. Box 175  
 Kigali, RWANDA

Tel: +250 252 593100 / +250 0788143000  
 Fax: +250 252 573461 / +250 252 575504  
 Email: [bkipo@bk.rw](mailto:bkipo@bk.rw)  
 Web: [www.bk.rw](http://www.bk.rw)  
 (Branches – ALL)

### Banks

**KCB Rwanda S.A.**  
 Plot No. 1229 & 6404  
 Avenue de la Paix  
 P.O. Box 5620  
 Kigali, RWANDA  
 Tel.: +250 252 570620/21  
 Email: [kcb Rwanda@rw.kcbbankgroup.com](mailto:kcb Rwanda@rw.kcbbankgroup.com)  
 Web: [www.kcbbankgroup.com](http://www.kcbbankgroup.com)

**Banque Commercial du Rwanda S.A.**  
 11 Boulevard de la Revolution  
 P.O. Box 354  
 Kigali, RWANDA  
 Tel.: +250 252 559 052/12  
 Email: [info@bcr.co.rw](mailto:info@bcr.co.rw)  
 Web: [www.bcr.co.rw](http://www.bcr.co.rw)

**Ecobank Rwanda S.A**  
 Plot No. 314  
 Avenue de la Paix  
 P.O. Box 61236  
 Kigali, RWANDA  
 Tel.: +250 252 503580/8  
 Email: [contact@ecobank.com](mailto:contact@ecobank.com)  
 Web: [www.ecobank.com](http://www.ecobank.com)

**FINA Bank Rwanda Limited**  
 Company Code: 100003180  
 20 Boulevard de la Revolution  
 P.O. Box 331  
 Kigali, RWANDA  
 Tel.: +250 252 598 600  
 Email: [banking@finabank.co.rw](mailto:banking@finabank.co.rw)  
 Web: [www.finabank.com/rw](http://www.finabank.com/rw)

### Sponsoring Stock Brokers

**African Alliance Rwanda Limited**  
 Centenary House, 6<sup>th</sup> Floor  
 Avenue de la Paix  
 P.O. Box 638  
 Kigali, RWANDA  
 Tel.: +250 785 694490  
 Email: [securitiesrw@africanalliance.com](mailto:securitiesrw@africanalliance.com)  
 Web: [www.africanalliance.com](http://www.africanalliance.com)

**Dyer & Blair Securities Rwanda Limited**  
 3<sup>rd</sup> Floor, Chadel Building  
 Avenue de la Mille Collines  
 P.O. Box 5292  
 Kigali, RWANDA  
 Tel.: +250 782 498 750  
 Email: [shares@dyerandblair.com](mailto:shares@dyerandblair.com)  
 Web: [www.dyerandblair.com](http://www.dyerandblair.com)

## DIRECTORY OF AUTHORISED SELLING AGENTS

| Members of the RSE                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                      |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>African Alliance (Rwanda) Limited</b><br>Centenary House Building, 6th Floor<br>P O Box 6368<br>KIGALI<br>Tel.: +250 785 694 490<br>Email: securitiesrw@africanalliance.com<br>Web: www.africanalliance.com                                                                      | <b>BRD Advisory Services Limited (BAS Ltd)</b><br>1 <sup>st</sup> Floor, BRD Building<br>P.O Box 966<br>KIGALI<br>Tel.: +250 788 308 401<br>Email: d.rumanyika@brd.com.rw<br>Web: www.brd.com.rw                                     |
| <b>CDH Capital</b><br>5 <sup>th</sup> Floor Ecobank building<br>P.O Box 6237<br>KIGALI<br>Tel.: +250 252 570 736<br>Email: shehzadn@cdhrwanda.org.rw<br>Web: www.cdhrwanda.org.rw                                                                                                   | <b>CFC Stanbic Financial Services Ltd.</b><br>2 <sup>nd</sup> Floor, Plot 1320, Karisimbi Road<br>Next to Star Times Offices<br>P.O. Box 968<br>KIGALI<br>Tel.: +250 784 108 841<br>Email: mburuc@stanbic.com<br>Web: www.csfs.co.ke |
| <b>Core Securities</b><br>C/O K- Solutions & Partners<br>P.O Box 4062<br>KIGALI<br>Tel.: +250 788 300 973<br>Email: eric@ksolutions-law.com                                                                                                                                         | <b>DALLAS Securities Brokerage</b><br>Dallas House<br>P.O Box 1028<br>KIGALI<br>Tel.: +250 788 302 113<br>Email: Immy1968@yahoo.com                                                                                                  |
| <b>Dyer and Blair (Rwanda) Limited</b><br>Chadel Building<br>Avenue des Milles Collines<br>P.O Box 5292<br>KIGALI<br>Tel.: +250 782 498 750<br>Email: shares@dyerandblair.com<br>Web: www.dyerandblair.com                                                                          | <b>FAIDA Securities (Rwanda) Ltd</b><br>Soras Building 3rd Floor<br>P. O. Box: 2780<br>KIGALI<br>Tel.: +250 252 570 751<br>Email: Cecilia@fib.co.ke<br>Web: www.fib.co.ke                                                            |
| <b>MBEA Brokerage Services (Rwanda) S.A</b><br>39 Avenue de la Paix<br><i>(opposite C.H.K. – Centre Hospitalier Universitaire de Kigali)</i><br>P.O Box 92<br>KIGALI<br>Tel.: +250 255 101383 / +250 255 105197 / +250 255 115389<br>Email: info@mbea.net<br>Web: www.mbeagroup.net | <b>Renaissance Capital (Rwanda) Limited</b><br>C/O Trust Law Chambers<br>Rue Akagera, Kiyovu-Kigali<br>P.o Box 6679<br>KIGALI<br>Tel.: +254 20 368 2000<br>Email: infokenya@rencap.com<br>Web: www.rencap.com                        |





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